

Lakshmi Oil And Vanaspati Pvt. Ltd. v. State of U.P. and Others

Allahabad High Court · Division Bench · 30 November 2010 · Writ - C No. 23877 of 2006 · **Writ allowed; 19.4.2006 order quashed; connection directed within one month**

HEADNOTE

Where a factory is purchased in an auction sale under section 29 of the State Financial Corporations Act for recovery of the U.P. Financial Corporation's dues, and the sale certificate transfers the factory and premises free from all encumbrances, that certificate is itself a no-dues certificate for Clause 4.3(f) of the U.P. Electricity Supply Code, 2005. The last proviso to Clause 4.1, which withholds a new connection from a new owner until a Clause 4.3(f) no-dues certificate is produced, is therefore satisfied. Following *Isha Marbles v. Bihar State Electricity Board* (1995) 2 SCC 648, an auction purchaser who had no prior connection and no contract with the licensee is not a consumer or occupier under the Electricity Act and cannot be treated as a defaulter on the previous owner's arrears. The licensee's Clause 4.1 obligation to supply is not displaced. The writ is allowed; the order dated 19.4.2006 is quashed; the U.P. Power Corporation is directed to provide a connection within one month of production of a certified copy. If electricity dues exist against the previous owner, the Corporation may recover them from that owner in accordance with law.

FACTUAL SUMMARY

Lakshmi Oil And Vanaspati Pvt. Ltd. filed Writ-C No. 23877 of 2006 seeking a mandamus that the Power Corporation give an electricity connection to run its factory. Connection had been refused because of electricity dues on the previous owner. The petitioner had purchased the factory in an auction held to recover dues of the U.P. Financial Corporation; the sale certificate transferred the factory and premises free from all encumbrances. Counsel for the respondents relied on the last proviso to Clause 4.1 and Clause 4.3(f) of the U.P. Electricity Supply Code, 2005. The order under challenge was dated 19.4.2006. The source PDF concatenates impleadment and listing orders from 22.10.2009 to 6.10.2010 with the operative Division Bench judgment of 30.11.2010.

REUSABLE CONSTRUCTIONS

1. An SFC auction sale certificate transferring the premises free from all encumbrances is itself a Clause 4.3(f) no-dues certificate, so the last proviso to Clause 4.1 is satisfied. ¶ [unnumbered](#)
2. An auction purchaser with no prior connection or contract is not a consumer or occupier and cannot be treated as a defaulter on the previous owner's arrears (following *Isha Marbles*); the Clause 4.1 duty to supply remains. ¶ [unnumbered](#)
3. Previous owner's electricity arrears, if any, may be recovered from that owner in accordance with law and do not justify refusing a new connection to the auction purchaser. ¶ [unnumbered](#)

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.3(f)

SFC auction sale certificate free from encumbrances is a Clause 4.3(f) no-dues certificate

QUESTION

Does an SFC auction sale certificate transferring the premises free from all encumbrances satisfy Clause 4.3(f) so that a new connection cannot be refused for the previous owner's arrears?

HOLDING

Yes. Clause 4.3(f) requires a purchaser of existing property to verify that the old owner has paid all dues and obtained a no-dues certificate, and the last proviso to Clause 4.1 withholds a new connection until that certificate is produced. The petitioner bought the factory in an auction sale for recovery of U.P. Financial Corporation dues; the sale certificate transferred the factory and premises free from all encumbrances. That certificate is itself a no-dues certificate so far as the petitioner is concerned, and the authorities ought to have treated it as no objection towards electricity dues on the petitioner. ¶ [unnumbered](#)

FLAG The Court quotes Clause 4.3(f) as a single paragraph (purchaser's duty to verify dues and obtain no-dues). Later numbered sub-clauses 4.3(f)(i)–(viii) are not cited. Source PDF concatenates listing and impleadment orders (22.10.2009–6.10.2010) with the operative 30.11.2010 judgment of Prakash Chandra Verma and Virendra Singh JJ., which is unnumbered.

HOLDING-UNIT · UP-2005::4.1

Auction purchaser without prior contract is not a defaulter; Clause 4.1 duty to supply remains

QUESTION

Can the licensee refuse a new connection to an SFC auction purchaser, who had no prior contract or connection, on the ground of the previous owner's arrears?

HOLDING

No. Following *Isha Marbles*, the new purchaser cannot be said to be a consumer or occupier under the Electricity Act, there having been no contract with the licensee before purchase. The factual position was the same: the petitioner was not previously connected, cannot be said to be a defaulter, and it cannot be said that there are dues against him. The Power Corporation cannot be exempted from the Clause 4.1 obligation to supply. The writ is allowed; the order dated 19.4.2006 is quashed; connection is to be given within one month of production of a certified copy. If dues exist against the previous owner, the Corporation may recover them from that owner in accordance with law. ¶ unnumbered

QUALIFIER

The Court did not quantify the previous owner's dues or decide a recovery proceeding against that owner.

FLAG *Isha Marbles* was decided under the Indian Electricity Act, 1910; this Court applies it to Clauses 4.1 and 4.3(f) of the 2005 Code. The quoted last proviso to Clause 4.1 also recites the associate/relative/control bar (Companies Act, 1956 ss. 2 and 6); those limbs were not applied.

PRINCIPLE TAGS

electricity-arrears-not-a-charge-transferee-liaable-only-under-statutory-rules Following *Isha Marbles*, an SFC auction purchaser who had no prior connection or contract with the licensee is not a consumer or occupier and cannot be treated as a defaulter on the previous owner's arrears. A sale certificate transferring the premises free from all encumbrances is treated as the Clause 4.3(f) no-dues certificate. Lead authorities: *Isha Marbles v. Bihar State Electricity Board*. ¶ unnumbered

duty-to-supply-survives-extinguishment-of-right-to-recover The Clause 4.1 obligation to supply is not displaced by the previous owner's arrears where the SFC sale certificate is free from encumbrances and *Isha Marbles* applies. Those arrears, if any, may be recovered from the previous owner in accordance with law. Lead authorities: *Isha Marbles v. Bihar State Electricity Board*. ¶ unnumbered

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — EXISTENCE AND QUANTUM OF ELECTRICITY DUES AGAINST THE PREVIOUS OWNER

Left open. If such dues exist, the U.P. Power Corporation may recover them from the previous owner in accordance with law. ¶ unnumbered

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Isha Marbles v. Bihar State Electricity Board</i> (1995) 2 SCC 648 Supreme Court	A new purchaser who had no contract with the electricity supplier before purchase cannot be said to be a consumer or occupier under the Electricity Act and, for a new connection, cannot be treated as a defaulter on the previous owner's dues.	Followed as covering the same facts: an auction purchaser without a prior connection is not a consumer or occupier and cannot be said to have dues against him. ¶ unnumbered	Court	Followed

